

Adani Energy Solutions Ltd

ADANIENSOL · Energy / Power & Utilities

ROE

9.46%

ROCE

9.14%

Net Profit Margin

7.20%

D/E

2.93

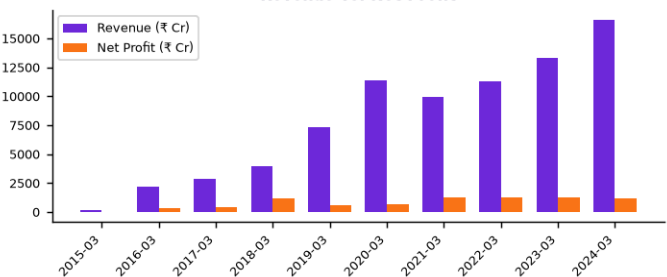
Revenue CAGR 5yr

17.85%

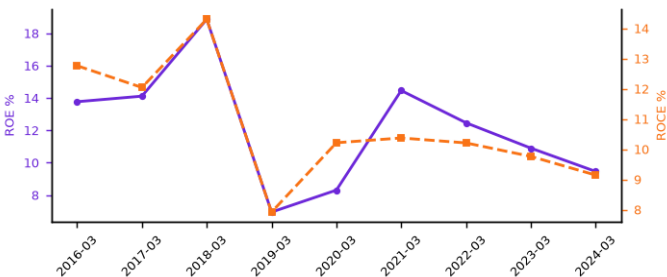
FCF (Rs. Cr)

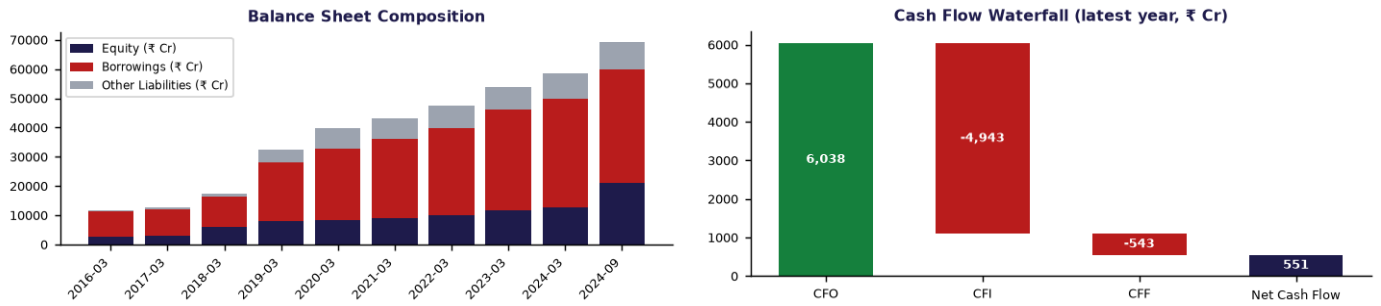
1,095

Revenue vs. Net Profit



ROE vs. ROCE





Pros

- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (79% confidence)
- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (68% confidence)

Cons

- ✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability (78% confidence)
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (64% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (61% confidence)

Capital Allocation Pattern: **Shareholder Returns**